CITS4403 Project: Modelling the Perth Housing Crisis

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1 Background

Housing instability currently exists as a critical socioeconomic issue within Australian society. Despite high levels of economic prosperity, escalating housing pressures and persistent homelessness continue to affect Australians [2, 3], placing disproportionate burden on marginalised and lower-income groups, such as young people, migrants and renters [6].

Over the past two decades, housing and rental costs in Australia have increased significantly relative to incomes, with home-ownership rates for all age groups under 65 decreasing, particularly among the younger demographic and lower income households [6]. In addition to these general affordability issues, multiple interest rate increases by the Reserve Bank of Australia (RBA) have heavily increased mortgage repayments, creating more financial stress for those lucky enough to enter the housing market [5].

The purpose of this model is to act as a controlled environment to discover and analyses the factors that drive housing instability in Perth. While the majority of studies regarding the housing market are typically based within an Australian context, our model is specific to the Perth CBD landscape.

2 Research Hypothesis

Our hypothesis for this study is to determine which factors have the greatest impact on home ownership rates and housing instability in Perth. Specifically, how factors such as the recent interest rate hikes, the upfront deposit amounts required, and the general income inequality between agents affect housing accessibility. Ultimately, we plan to use our model to evaluate these variables to discover which factor has the most significant influence on decreasing Perth's current housing instability.

3 Prior work and Contributions

Many prior works attempt to simulate housing markets across varying contexts and approaches. Housing crises in London [7] and Tokyo [16] are examined via the implementation of system dynamics models and agent based models respectively, with other works focusing on the design of targeted interventions for such scenarios [8]. Models developed in the Australian context often seek to support policy decisions. Economic modelling approaches are used in a 2025 paper to estimate housing need in the Australian market [8], whilst a 2020 model of the Australian housing market seeks to examine relationships between construction, vacancies, rents and prices, via an empirical modelling method, finding low interest rates and high immigration as key factors influencing rapid growth in housing prices and construction [15]. Simple agent based models simulate generic housing markets, with J M Applegate presenting an extendible agent based model, simulating interactions between households buying and selling houses of varying quality [4].

Whilst models exist for the simulation and examination of both housing crises, and the Australian market, we seek to combine these elements, with a specific focus on the Perth metropolitan region. Similarly to Saunder's 2020 paper [15], we aim to identify relationships involving interest rates, rates and prices, however aim to do so with specific focus on outcomes for renters. Uniquely, we aim to simulate the Perth market

via an agent-based model, similar to that presented by Applegate, however with significant extensions and assumptions tailored to our context. Our approach allows us to simulate specific interactions between renters and landlords, offering a visual representation of the distribution of household rental status and characteristics across the city, alongside renter specific outcomes.

We make the following contributions:

1. We present an **agent-based model** of the housing market in the Perth metropolitan region
2. Via simulation, we investigate the **impact on renter outcomes associated** with interest rate hikes, upfront deposit amounts required, and the general income inequality within Perth.

4 Model specification

4.1 Classes

`Dwellings`: Represents the houses in our model. Each `Dwelling` is initialised with a tuple representing a set of coordinates (*coord*), which then determines it's *quality* based on its location to hotspots, such as the Perth CBD. It stores the current *occupant* and *owner*, (None when initialised), alongside whether it is for sale or not (*isOnMarket*). Lastly, each `Dwelling` has a rent and sale price, formulated using the `AVERAGE_HOUSE_PRICE` (or `AVERAGE_RENT` if it's being used as a rental), multiplied by it's quality score, and then further multiplied by a random factor to account for real world variations.

`Household`: Represents the people occupying the houses in our model. They're initialised with an income using a lognormal distribution, with the mean being the `AVERAGE_INCOME` variable, and their cash assets (*money*) are set to double their income, so the household can start buying/renting houses immediately (if applicable). A `Household` can occupy a house (*occupying*), and can own multiple houses and mortgages (*owns* and *mortgages* respectively).

`Bank`: Represents the bank. Each `Bank` is initialised with a base interest rate (*interestRate*), and tracks all the active mortgages (*activeMortgages*) occuring in the model. It also hosts an method to update the interest rate each year to simulate the rate changes, with the interest rate unable to go above 17.5% or below 0.1% based on historical data [14].

`Mortgages`: Holds information about each households' mortgage (or mortgages). It tracks the household who is responsible for paying off the loan (*borrower*), and the property that is tied to the mortgage (*dwelling*). It also holds the *initialLoanAmount* for the loan, along with the year's *interestRate*, how many years the loan has been active for (*yearsPaid*), and the remaining balance on the loan (*loanAmount*). The `Mortgages` class also has a method to calculate the annual payments a household has to make towards their mortgage by using the annuity formula, which most Australian banks implement [19][10].

4.2 Tick() Method

The `tick()` method in our model represents a year passing, in which households can buy, sell or rent out houses.

1. The bank updates the index rate, which also serves as the interest rate. This in turn updates all the house prices to match the new rate.
2. A random selection of 10% of the households leave the simulation, allocating their houses back to the market and clearing their loans. New households will take their place.
3. Households then get paid their yearly income and make mortgage and rent payments (if applicable). If they can't afford the mortgage, the bank takes the house.

4. Houses that are on the market that haven't been sold have their prices lowered. Then households with investment properties can sell their houses if it's current price is 150% greater than the price they brought it for.

5. Households can then purchase up to three houses if they can afford to.

6. If unable to own a house, households can then try and rent a house.

4.3 Assumptions

- **Income**: Median household income (weekly): $1,865 (ABS 2021 census so slightly out of date) [1].
- **Housing Prices**: Median price data: $965,000 [13].
- **Rental Prices**: Based on the median rental prices (weekly): $750 [13].
- **Interest Rate**: Based on the cash rate implemented on the 30th of Sept 2026 [14]: 4.6%.
- **Profit Margin**: Assuming that home investors will sell their property once it is valued at 150% its original cost, with the 150% figure chosen arbitrarily.
- **Average Loan Period**: Based on the average loan period for most mortgages [9]: 30 years.
- **House Deposit**: Based on the average home deposit in Australia [18]: 20%.

5 Methodology

To investigate the factors influencing housing instability in Perth, we used an agent-based modeling approach, allowing us to simulate the interactions of households within the housing market, and how those interactions create patterns in the rental, home ownership, and homelessness rates. We also tracked the percentage of renters in step 10 that then go on to own a home by step 30 to see if households could escape the "rental trap", naming this percentage `Mobility`.

Firstly, we created a control simulation, with the **income inequality** variable set to 0.55, **deposit** set to 0.2, and the **interest rate** set to 0.046. We then ran this control multiple times in order to calculate the mean for each percentage rate (Renters, Owners, Homeless, Mobility), since a significant portion of our calculations involve randomness.

Then we changed the income equality to 0.50, 0.60, and 0.65, where the higher the number, the larger the gap between households with maximum income vs the minimum. When running these simulations, we kept the deposit and interest rate as it was in the control group. Again, we ran this multiple times to calculate the mean rates.

We then did the above for the deposit (0.05, 0.10, 0.15, 0.25 and 0.30) and interest rate variables (2.6%, 3.6% and 5.6%), only changing one variable at a time and keeping the rest the same as per the control group.

6 Results

Changing the inequality index (keeping the other variables constant):

Inequality at:	0.50	0.55 (Control)	0.60	0.65
% of Renters	42.476%	40.503%	43.623%	44.467%
% of Owners	48.178%	42.763%	38.715%	39.659%
% of Homeless	10.071%	16.734%	12.888%	15.874%
% of Mobility	11.034%	7.655%	13.591%	12.094%

Changing the deposit amount required (keeping the other variables constant):

Deposit at:	0.05	0.10	0.15	0.20 (Control)	0.25	0.30
% of Renters	32.186%	39.626%	41.559%	40.503%	48.296%	37.348%
% of Owners	39.486%	45.580%	43.917%	42.763%	40.401%	38.462%
% of Homeless	13.462%	14.794%	14.524%	16.734%	11.302%	24.190%
% of Mobility	2.562%	13.418%	11.105%	7.655%	10.374%	5.110%

Changing the interest rate (keeping the other variables constant):

Interest Rate at:	2.6%	3.6%	4.6% (Control)	5.6%
% of Renters	45.445%	40.165%	40.503%	33.772%
% of Owners	37.690%	41.667%	42.763%	45.563%
% of Homeless	16.865%	18.168%	16.734%	20.665%
% of Mobility	9.486%	8.201%	7.655%	7.675%

7 Discussion

7.1 Findings

Inequality Index: as the index increases in value (i.e. as the gap widens between the rich and the poor), we see that the rate of renters and homeless overall increases, along with the rate of home owners overall decreasing, which is what we expected to see. However, the mobility (the percentage of renters in step 10 who become home owners in step 30) jumps in percentage compared to the control group, which is suprising as we expected to see a decline due to the fall of home ownership and the rise of renters.

Deposit Amount: as the deposit amount increases, it hypothetically becomes harder to obtain a mortgage due to the additional savings required, and we see that with the percentage of home owners overall decreasing. We also see that homelessness rate increases, peaking at 24.190% when households need to save 30% of the house price. Mobility has a rise and fall as the deposit increases, whilst the percentage of renters seems to increase and then fluctuate randomly once we hit the deposit amount of 15%.

Interest Rates: as the interest rate increased, we predicted that renters and homelessness would increase whilst the amount of home owners decreases, as mortgage repayments would have become more expensive. However, the results show nearly the opposite, with the percentage of home owners actually increasing as the rates rise (reaching 45.563% when rates are 5.6%), whilst the percentage of renters decreases to 33.772%. Meanwhile, homelessness generally increases to a peak of 20.665% at the highest rate, and mobility had a slight decrease, which is more in line with what we expected would happen.

7.2 Limitations

Our model has many limitations. Some of them include:

- The formula used to update the interest rate occurs yearly in our model, whereas in reality it can be updated potentially up to 8 times a year based upon the RBA cash rate board meetings, with the rates being increased four times so far in 2026 [17].
- Our formula to calculate mortgage payments is based on interest compounding yearly, and households also making one annual payment. In reality, most interest rates compound monthly with households making monthly or fortnightly payments.
- In our simulation, we only have one dwelling type (houses). In reality, there are many different dwelling types, such as apartments, townhouses, and duplexes.
- Lower deposit amounts are typically saved for first home buyers, which our model doesn't track.

- In addition, when a household takes out a loan with less than 20% deposit saved, they also normally have to pay for Lenders Mortgage Insurance (LMI)[12], which isn't included in our model.
- Our model only considers standard mortgages from banks, and does not consider other loans such as having a guarantor, or having another household buy a house for you (such as the 'Bank of Mum and Dad').
- Our model does not take into account factors such as comparing different banks for loans, building inspections, settlement and stamp duty costs, and home insurance to name a few [11].

8 Conclusion

Based on our model's findings, we can address the hypothesis by evaluating how each factor influences home ownership and housing instability in Perth.
The results indicate that the required deposit amounts and the income inequality have the most direct impact on housing accessibility. Since a higher deposit means households have to save up for longer, it gatekeeps households from the housing market, shown in the increase of renters and homelessness. Similarly, when the income inequality is widened, it makes it harder for households to find houses in their price range and afford loan repayments, again resulting in lower ownership and higher renter and homelessness rates.

On the other hand, interest rates showed contradictory results, by showing home ownership increasing when rates increased. This suggests that interest rates in isolation play a less dominant role in determining housing instability in our model. However, there is also the possibility that there was an unknown error in our model which caused this result.

In conclusion, based on our model's findings, governmental policies that target reducing upfront costs and addressing income inequality will most likely have the most influence on fixing Perth's housing instability.

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